



CONSTRUCTION DEPARTMENT
Sponsor Construction Analysis

DATE: 08/21/25
SPONSOR: Merge Urban Development
APPROVED GEOGRAPHIES: Wisconsin and Iowa
EQUITY CONSTRUCTION Not Approved

On 08/25/25, the Genesis Capital Construction Department commenced initial engagement to review the construction competencies and operational capabilities of the entity, Merge Urban Development. The Genesis loan officer presenting was Austin Isaac. The Genesis Capital Construction Department's point of contact for Merge Urban Development was Brent Dahlstrom, who participated with Senior Genesis Capital Construction management to review their company's history, track record, construction management team, and project development strategies.

Approval Status: Approved
Construction Tier: 2.5

Additional Conditions:

No ADDITIONAL CONDITIONS at this time

Risk Assessment:

Sponsor: This Sponsor meets minimum requirements for construction approval.
Track Record: Sufficient
Project Type: LOW-MEDIUM RISK in complexity
Construction Team: Acceptable

Sponsor Overview:

This is a seasoned Sponsor in real estate development, along with a proven track record supporting their experience. The principal leadership of Merge Urban Development is overseen by Brent Dahlstrom, whose collective real estate experience started in 2018. Real estate development is currently the core business for this Sponsor. A typical project type for this Sponsor's current strategy is best described as Multi-unit "ground up construction", with a projected construction budget in the amount of \$20,000,000.00. The track record and projects disclosed to the Genesis Capital Construction Department reflect a construction budget of \$20,000,000.00 for complete and in-progress projects. The expected construction timeline for projects that are to be submitted to Genesis Capital for funding, from actual funding date to construction completion, is approximately 14 months. There may be other projects that this Sponsor has completed under different project durations, but this analysis is focused on go-forward projects.

A review of the Sponsor's track record indicates that this Sponsor has performed historically types of projects Genesis Capital is anticipating funding. The types of projects this Sponsor is expected to present for funding present a LOW RISK in complexity when considering construction & operational needs. A track record of 10 completed projects was presented for review. This Sponsor's completed projects show average design quality of product when measured against ARV comparables. The ability of the Sponsor to meet or exceed projected ARV (after repair value) is an important factor to market pricing and speed of sale.



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Construction Management Team

The Sponsor's construction team's operational infrastructure has been reviewed and measured against performance requirements for projects expected to be presented to Genesis Capital for funding. The relationship between the construction management component and field personnel determines the overall execution of the product, and if it will meet ARV (after repaired value) as initially projected. Merge Urban Development is a General Contractor, with direct oversight of Sub-trades and staffing personnel. The day to day operations are overseen by strong internal management, with adequate resources to support field personnel.

It is determined that this Sponsor's construction team is well organized, with experience and a high level of proficiency for the production expectations of this Sponsor.

- This evaluation was based on this Sponsor's current strategy of Multi-unit "ground up construction". **Any change in strategy or production volume** is required to be reviewed by the Genesis Construction team prior to loan approval.
- This evaluation was based on a rehab budget range of \$20,000,000.00. **Any future projects with a significant increased rehab budget** will need to be reviewed by the Genesis Construction team prior to loan approval.

Additional Notes: Merge Urban Development was founded by Brent Dahlstrom in 2018. While their primary focus is ground up multi unit developments in Wisconsin, they are also active in Iowa as a secondary market. Brent also operates a larger rental portfolio of over 1,400 units. Their primary focus is on Opportunity Zones, primarily for the tax incentives. Merge is licensed as a General Contractor in Wisconsin and Minnesota.

This Sponsor Analysis was completed by: Nicholas Lambert, VP, Construction Underwriting Manager